

February 12, 2026

Chair Joseph Cervantes
Senate Judiciary Committee
New Mexico Legislature, Room 319A
411 S. Capitol St.
Santa Fe, NM 87501

Vice Chair Antonio Maestas
Senate Judiciary Committee
New Mexico Legislature, Room 300C
411 S. Capitol St.
Santa Fe, NM 87501

Senator Angel Charley
New Mexico Legislature, Room 416D
411 S. Capitol St.
Santa Fe, NM 87501

RE: Letter in Opposition to New Mexico SB 53

Dear Chair Cervantes, Vice Chair Maestas, and Senator Charley:

On behalf of the advertising industry, we write to oppose New Mexico SB 53.¹ We provide this letter to offer our non-exhaustive list of concerns about this bill. Our organizations strongly believe consumers deserve meaningful privacy protections supported by reasonable government policies and responsible industry practices. However, as described in more detail below, SB 53 contains provisions that are out-of-step with privacy laws in other states and will only add to the increasingly complex privacy landscape for both businesses and consumers across the country. We ask you to harmonize SB 53 with other state privacy laws. Accordingly, we ask you to decline to advance the bill as drafted out of the Senate Judiciary Committee (“Committee”).

As the nation’s leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,000 companies that power the commercial Internet, which accounted for nearly 20 percent of total U.S. gross domestic product (“GDP”) in 2024.² By one estimate, approximately 17.3% of New Mexico jobs in 2024 were related to the ad-subsidized Internet, a share projected to increase to 19.0% by 2029.³ Our group has more than a decade’s worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with the Committee further on the points we discuss in this letter.

¹ New Mexico SB 53 (2026 Session), located [here](#) (hereinafter, “SB 53”).

² S&P Global, THE ECONOMIC IMPACT OF ADVERTISING ON THE US ECONOMY, 2024-2029 at 4 (Aug. 2025), located at https://theadcoalition.com/wp-content/uploads/2025/08/TAC_SP-Global-Final-Report_August-2025.pdf.

³ *Id.* at 15-16.

I. SB 53 Should Be Harmonized with Existing State Privacy Laws

Portions of SB 53 are drawn from a federal privacy proposal introduced in 2024 that never advanced beyond introduction and did not receive a hearing or markup. Rather than relying on a proposed framework that did not gain traction in a congressional committee, New Mexico should prioritize harmonizing SB 53 with the privacy frameworks already adopted by a majority of states that have enacted omnibus privacy laws. In addition, several provisions of SB 53 have not been addressed or considered in any recent state or federal privacy proposal. A patchwork of differing privacy standards across the states would create significant costs for businesses and consumers alike. Efforts to harmonize state privacy legislation with existing privacy laws are critical to minimizing costs of compliance and fostering similar privacy rights for consumers no matter where they live. Below we provide a non-exhaustive list of ways SB 53 deviates from the dominant approach to privacy across the states. This list is followed by more detailed comments that set forth specific concerns with overly restrictive requirements for advertising and other legitimate processing activities:

- SB 53’s definitions of terms like “actual knowledge,” “consumer,” “expressly provided personal data,” “privacy-protective feed,” “profile-based feed,” “contextual advertising,” “first-party advertising,” and others would create novel standards that would impede access to Internet resources for individuals in New Mexico.
- SB 53’s proposed right for consumers to stop all data processing would hinder basic services and operations New Mexico consumers rely on and new product development.⁴
- SB 53’s proposed right for consumers to access “all information pertaining to the processing of the consumer’s personal data” would require businesses to name data sources and third-party data recipients in response to a consumer request, which would diverge from the disclosures required by other state laws and could obligate companies to contravene confidentiality clauses they maintain in their contracts with partners.⁵
- SB 53’s definition of “profiling” is not limited to decisions that result in legal or similarly significant effects for a consumer, which could result in overbroad application of limitations on “profiling by default” to the detriment of consumers.⁶
- SB 53’s “obvious sign” requirements for precise geolocation data and online activity data provide no meaningful guidance to industry and are ripe for third-party interference.⁷

⁴ SB 53 at Sec. 6(A)(4).

⁵ *Id.* at Sec. 6(A)(2).

⁶ *Id.* at Sec. 2(Y), Sec. 4(A).

⁷ *Id.* at Sec. 4(D).

- SB 53’s prohibition on waiving of rights and retaliatory denial of service does not include exemptions for use of personal data that is necessary to provide the offered services.⁸
- SB 53’s opt-in consent requirement for the processing of sensitive personal data would couple that requirement with prescriptive rules governing how the opt-in mechanism must be designed and implemented, effectively displacing established consent standards and undermining interoperability with existing state privacy laws.⁹
- SB 53’s definition of “consumer” and list of exceptions does not appear to exempt employee or B2B data. An exemption for employee and B2B data is explicitly embedded into other state privacy laws to avoid disrupting routine employment and commercial operations, and to focus consumer privacy obligations on consumer-facing data practices.

Compliance costs associated with divergent privacy laws are significant. To make the point: a regulatory impact assessment of the California Consumer Privacy Act of 2018 concluded that the initial compliance costs to California firms would be \$55 billion.¹⁰ Another recent study found that a consumer data privacy proposal in a different state considering privacy legislation would have generated a direct initial compliance cost of \$6.2 billion to \$21 billion and ongoing annual compliance costs of \$4.6 billion to \$12.7 billion for the state.¹¹ Other studies confirm the staggering costs associated with varying state privacy standards. One report found that state privacy laws could impose out-of-state costs of between \$98 billion and \$112 billion annually, with costs exceeding \$1 trillion dollars over a 10-year period, and with small businesses shouldering a significant portion of the compliance cost burden.¹² Harmonization with existing privacy laws is essential to create an environment where consumers in New Mexico have privacy protections that are consistent with those in other states, while minimizing unnecessary compliance costs for businesses. New Mexico should not add to this compliance bill for businesses and should instead opt for an approach to data privacy that is in harmony with already existing state privacy laws.

⁸ *Id.* at Sec. 8.

⁹ SB 53 at Sec. 4(C)(2)(b), Sec. 5.

¹⁰ See State of California Department of Justice Office of the Attorney General, *Standardized Regulatory Impact Assessment: California Consumer Privacy Act of 2018 Regulations*, 11 (Aug. 2019), located at https://dof.ca.gov/media/docs/forecasting/economics/major-regulations/major-regulations-table/CCPA_Regulations-SRIA-DOF.pdf.

¹¹ See Florida Tax Watch, *Who Knows What? An Independent Analysis of the Potential Effects of Consumer Data Privacy Legislation in Florida*, 2 (Oct. 2021), located at <https://floridatxwatch.org/DesktopModules/EasyDNNNews/DocumentDownload.ashx?portalid=210&moduleid=34407&articleid=19090&documentid=986>.

¹² Daniel Castro, Luke Dascoli, and Gillian Diebold, *The Looming Cost of a Patchwork of State Privacy Laws* (Jan. 24, 2022), located at <https://itif.org/publications/2022/01/24/looming-cost-patchwork-state-privacy-laws> (finding that small businesses would bear approximately \$20-23 billion of the out-of-state cost burden associated with state privacy law compliance annually).

II. SB 53’s Approach to Targeted Advertising Would Affect New Mexico Residents’ Access to Internet Resources and Businesses’ Ability to Reach New Customers

If enacted, SB 53’s proposed approach to “targeted advertising” would be out of step with all other state laws regulating this activity. SB 53 would define “targeted advertising” in a way that would categorize *any advertisement* delivered based on *any inference* as targeted advertising, unless exempt as “first-party advertising” or “contextual advertising.”¹³ If SB 53 is enacted, New Mexico businesses would be significantly hindered in their efforts to reach potential consumers, and New Mexico consumers would become subject to entirely different Internet experiences than residents of neighboring states, such as Colorado, Texas, and Utah. In addition, while SB 53 would exempt “first-party advertising” from the broader definition of targeted advertising, it would define the term in an extremely narrow way such that certain first-party advertising activity would become “targeted advertising” subject to strict restrictions.¹⁴ The limited definition of the term could result in preventing even the most basic of data enhancements, which are often essential for ensuring accuracy, reducing errors, and improving the effectiveness advertising campaigns. Without the ability to enhance first-party data, businesses, and particularly small businesses, may face increased costs and inefficiencies, leading to less effective marketing efforts and increased costs for consumers. In a similar way, the term “contextual advertising” would exclude data enhancement, which is an integral component to this form of advertising.¹⁵ The definition of the term “targeted advertising” in SB 53 should be updated so it aligns with other state definitions.

III. Opt-In Requirements for Targeted Advertising, First-Party Advertising, and the Brokerage of Personal Data Would Limit Consumer Benefits and Choices

SB 53 would require businesses to obtain opt-in consent to engage in targeted advertising, first-party advertising, and the brokerage of personal data.¹⁶ No other state that has enacted an omnibus consumer privacy law has adopted an opt-in approach for advertising and marketing activities. The data-driven and ad-supported online ecosystem benefits consumers and fuels economic growth and competition. Opt-in consent requirements for key advertising functionalities limit entities’ ability to use data responsibly to reach consumers with pertinent messaging and can have unintended consequences and ultimately serve as a detriment to consumers’ health and welfare. SB 53 also raises First Amendment concerns. The use of data to deliver truthful, relevant advertising is protected under established First Amendment principles. These protections extend both to businesses’ right to free expression and individuals in their right to receive accurate information through advertising.¹⁷ New Mexico should not advance an

¹³ SB 53, Sec. 2(CC).

¹⁴ *Id.* at Sec. 2(P).

¹⁵ *Id.* at Sec. 2(G).

¹⁶ *Id.* at Sec. 4(B)(3).

¹⁷ *Virginia State Board of Pharmacy v. Virginia Citizens Consumer Council, Inc.*, 425 U.S. 748, 756-67 (1976); *Sorrell et. Al. v. IMS Health Inc.*, 564 U.S. 552, 570-71 (2011).

approach to privacy that may run afoul of bedrock constitutional protections when other workable approaches to governing data processing are used across several states.

Use of data for targeted advertising should be subject to notice requirements and effective opt-out controls. A one-size-fits-all opt-in requirement for data use for advertising runs the risk of regulating out of existence messaging and information which is more relevant to individuals and helpful to businesses, governments, and non-profits. Opt-in consent requirements also tend to work to the advantage of large, entrenched market players at the expense of smaller businesses and start-up companies. To ensure uses of data to benefit New Mexico residents can persist, and to help maintain a competitive business marketplace, we encourage you to remove the broad opt-in consent requirements for advertising in the bill and replace them with a right to opt out of targeted advertising.

IV. Overly Restrictive Limitations on Data Processing Would Stifle the Economy

SB 53 includes data minimization terms that would limit processing of personal data to only that which is “necessary” to provide “the specific online feature, product or service with which the consumer is actively and knowingly engaged” or deliver a reasonably anticipated communication that is not an advertisement.¹⁸ The bill would also prohibit processing of sensitive data unless collection of such data is strictly necessary to provide an *online* feature, product, or service.¹⁹ These overly restrictive limitations on data processing would completely eliminate business’ ability to use sensitive data “offline,” including in brick-and-mortar locations, and would impede businesses’ ability to benefit consumers and to enrich the availability of goods and services in the online economy. The proposed data minimization terms could impose significant limitations on the use of personal data for developing new technologies, providing pertinent messaging and advertising to consumers, and creating cost-effective and efficient services.

The vast majority of states that have enacted a data privacy law permit businesses to process personal data as reasonably necessary and proportionate to achieve the purposes for which the personal information was collected, as disclosed to the consumer.²⁰ SB 53’s data minimization approach would contradict this reasonable, majority approach, thereby subjecting New Mexico consumers to fewer benefits of data processing than their counterparts in nearby states and other parts of the country. New Mexico should take steps to align SB 53’s data minimization terms with other states instead of adopting an onerous and untested approach to data use that could disadvantage New Mexico consumers and businesses.

V. A Private Right of Action Is an Inappropriate Form of Enforcement for Privacy Legislation

As presently drafted, SB 53 allows a consumer to maintain an action to establish liability and recover damages and equitable or injunctive relief in any district court.²¹ SB 53 should be

¹⁸ SB 53 at Sec. 4(B)(1)-(2).

¹⁹ *Id.* at Sec. 4(C)(2)(a).

²⁰ *See, e.g.*, Cal. Civ. Code § 1798.100(c); Conn. Gen. Stat. § 42-524(f).

²¹ SB 53, Sec. 9(B).

updated to clarify that it does not create a private right of action under any law. We strongly believe private rights of action should have no place in privacy legislation. Instead, enforcement should be vested with the Attorney General (“AG”) alone, because such an enforcement structure would lead to stronger outcomes for New Mexico residents while better enabling businesses to allocate resources to developing processes, procedures, and plans to facilitate compliance with new data privacy requirements. AG enforcement, instead of a private right of action, is in the best interests of consumers and businesses alike.

The possibility of a private right of action in SB 53 would create a complex and flawed compliance system without tangible privacy benefits for consumers. Allowing private actions will flood New Mexico’s courts with frivolous lawsuits driven by opportunistic trial lawyers searching for technical violations, rather than focusing on actual consumer harm.²² Private right of action provisions are completely divorced from any connection to actual consumer harm and provide consumers little by way of protection from detrimental data practices.

Additionally, a private right of action would have a chilling effect on the state’s economy by creating the threat of steep penalties for companies that are good actors but inadvertently fail to conform to technical provisions of law. Private litigant enforcement provisions and related potential penalties for violations represent an overly punitive scheme that do not effectively address consumer privacy concerns or deter undesired business conduct. They expose businesses to extraordinary and potentially enterprise-threatening costs for technical violations of law rather than drive systemic and helpful changes to business practices. A private right of action would also encumber businesses’ attempts to innovate by threatening companies with expensive litigation costs, especially if those companies are visionaries striving to develop transformative new technologies. The threat of an expensive lawsuit may force smaller companies to agree to settle claims against them, even if they are convinced they are without merit.²³

Beyond the staggering cost to New Mexico businesses, the resulting snarl of litigation could create a chaotic and inconsistent enforcement framework with conflicting requirements based on differing court outcomes. Overall, the possibility of a private right of action would serve as a windfall to the plaintiff’s bar without focusing on the business practices that actually

²² A select few attorneys benefit disproportionately from private right of action enforcement mechanisms in a way that dwarfs the benefits that accrue to the consumers who are the basis for the claims. For example, a study of 3,121 private actions under the Telephone Consumer Protection Act (“TCPA”) showed that approximately 60 percent of TCPA lawsuits were brought by just forty-four law firms. Amounts paid out to consumers under such lawsuits proved to be insignificant, as only 4 to 8 percent of eligible claim members made themselves available for compensation from the settlement funds. U.S. Chamber Institute for Legal Reform, *TCPA Litigation Sprawl* at 2, 4, 11-15 (Aug. 2017), located [here](#).

²³ For instance, in the early 2000s, private actions under California’s Unfair Competition Law (“UCL”) “launched an unending attack on businesses all over the state.” American Tort Reform Foundation, *State Consumer Protection Laws Unhinged: It’s Time to Restore Sanity to the Litigation* at 8 (2003), located [here](#). Consumers brought suits against homebuilders for abbreviating “APR” instead of spelling out “Annual Percentage Rate” in advertisements and sued travel agents for not posting their phone numbers on websites, in addition to initiating myriad other frivolous lawsuits. These lawsuits disproportionately impacted small businesses, ultimately resulting in citizens voting to pass Proposition 64 in 2004 to stem the abuse of the state’s broad private right of action under the UCL. *Id.*



harm consumers. We therefore encourage the Committee to clarify that SB 53 does not create a private right of action under any law and vests enforcement authority with the AG alone.

* * *

We and our members strongly support meaningful privacy protections for consumers. We believe, however, that SB 53 would impose particularly onerous requirements that would unreasonably restrict the free flow of information that powers the economy and New Mexico residents' access to resources. We therefore respectfully ask the Committee to decline to advance SB 53 as proposed and would welcome the opportunity to engage further and work with you to craft a workable privacy framework that benefits New Mexico businesses and consumers alike.

Thank you in advance for your consideration of this letter.

Sincerely,

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